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Understanding & Analysis

(1) Diff b/w Revenue & other Income
(2) Timing of Revenue

In Service Industry → Revenue is recorded only when the Service is provided.

Logistics → when they deliver the product

Revenue recorded → "On the day" when the service is due.

Ex.- completion of service does not matter as soon as flight take off → Record

Advertisement Co. → As soon as the match starts (Adv. Revenue Record)

Amazon → when order is delivered.

* Indigo
Ticket Sale → Revenue
Merchandise → Other Income
Cargo → Other Income
Food → Once decided either Revenue or Other Income (Consistency Principle)

* Steel Scrap Sale → Other Income
Residual → Other Income
By Product (thoda Expense Incur) → Revenue

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Revenue is the function about growth

Amazon | Inflated Revenue, manipulated

Third-party

10000

9000

1000

1000 should be Revenue but Amazon writes 10000 as Revenue

Inventory

10000

9000

1000

10000 is Rev. bcz Amazon owns the phone

Revenue is not recognised based on refundable or non-refundable

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Depriciation & Assets

4 Methods of depreciation

1. Straight line method (SLM) → life of asset
2. written-down value (WDV) → Rate of depreciation
3. unit methods → life in units
4. Sum of digital method → life

In India → written down value (for tax)
Companies → SLM

$$\frac{\text{Cost} - \text{Scrap Value}}{\text{life / total unit}}$$

life given → Use SLM
% written → Use WDV
Both life, % → Dono use karna padega

Either depreciation → 6 month, 1 year
If 6 month or less than 6 ⇒ 6 month
If even 1 day more than 6 month ⇒ 1 year

CP = 100000
life = 5 years
purchased on 1/10/25

31/3/26 80 - 10000 depreciation
31/3/27 - 20000] fixed each year now
31/3/28 - 20000]

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WDV method

100000 = Rate 10% on 1/10/25

31/3/26 $100000 \times \frac{10}{100} \times \frac{1}{2} = 5000$; 95000

31/3/27 $95000 \times \frac{10}{100} = 9500$

31/3/28 $85500 \times \frac{10}{100} = 8550$

1/10/26 = 75000

$95000 \times \frac{10}{100} \times \frac{1}{2}$

4750

95000

4750

90250

75000

15250

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1/4/19 → 200000
1/10/19 → 100000 (new)
2
1/10/20 → 1/4/19 Machine obselete
sold for 90000

1/10/21 → New 250000 purchase

1/10/21 → Sold for 85000 (old)

10% per annum on original cost
31/3 every year.

Show whether sold for profit/loss

19-20

$200000 \times \frac{10}{100} = 20000$

20-21

$180000 \times \frac{10}{100} \times \frac{6}{12} = 18000$

180000 - 9000 = 1,71,000

loss = 81000

~~180000~~ 72000 - 90000 = ~~81000~~ loss

19-20

$100000 \times \frac{5}{100} \times \frac{6}{12} = 5000$

20-21

$95000 \times \frac{10}{100} = 9500$

$\frac{14}{98000}$

85500

85500

85500 × 10/100

85500

76950

76950

85000

8050

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* Unit Method :- depreciation per unit

Truck = life is 100000 km
Value = 10,00,000 ₹.

$$\frac{1000000}{100000} = 10 \text{ Rs/Km}$$

* Sum of digit method

→ Co. wants to charge high depreciation in Initial years & low depreciation in later years.

1	— $10000000 \times 5/15$
2	— $1000000 \times 4/15$
3	— $10000000 \times 3/15$
4	— $1000000 \times 2/15$
5	— $1000000 \times 1/15$
15	

Just to recover the cost of the asset, higher depreciation is charge in Initial years.

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10,00,000
(50,000)
40,000
15,000
60,000
20,000
[redacted]
[redacted]
10,85,000

25,00,000
(1,25,000)
2,50,000
1,20,000
1,50,000
80,000
75,000
90,000
31,40,000

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Revenue

COGS — Purchase
GPM — Inventory

+ OI

- Op Expense
EBITDA

- Dep
EBIT = Operating Profit

- Interest
PBT

- Tax
PAT = NP — Dividend
Retained Earnings

Balance Sheet

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Face Value

Equity
- Capital / Share Capital (2, 5, 10, 100)
  - Authorized
  - Issued
  - Subscribed
  - Paid up
- Reserve & Surplus (Other Equity)

→ Authorised Share Capital:
In lifetime, how much shares a Co. can Issue.

→ Issued Subscribed Paid up — After 2013, companies Act
All are same bcz 100% money paid up

Other Equity
- Reserve & Surplus
  - Statutory Reserve
  - Capital Reserve or Specific Reserve or Restricted Reserve
  - Revenue Reserve or general Reserve or free Reserve or Retained Earnings
- Other Comprehensive Income (OCI)

Reserve & Surplus + OCI = Other equity

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Revenue Reserve → Co. can do whatever they want. (Owners' Money)

OCI is a book adjustment

But PAT will be taken for analysis

Land Value Purchase → ₹5000000
Current Value → ₹20000000
So, ₹15000000 can be written in OCI (Other comprehensive Income)

Investments ka fair market value likhna mandatory nai. (Sirf public co ki investment par hi)

Any increase / decrease in Investment value will be written in OCI.

Assets ka fair market Value ⇒ Optional

P&L me koi change nahi
Only in OCI.

Cash & cash equivalents → Mandatory
Plant, Property & Investment → Optional

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B/S

Equity	Tangible
NCL	Intangible
CL	Investments.
	CA, Advances & loans

Revenue is vanity
Profit is sanity (opinion)
Cash flow is Reality

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[Fundamental Analysis] - ① Cash flow Statement
- ② Vertical & Horizontal analysis
- ③ Ratio Analysis

Financial Statement
- BIS
- P&L
- Cash flow Statement
- Statement of change in equity (only for Co.)

Cash flow statement is created to see the inflow and outflow of cash in a company.

Preparation
- Operating
- Investing
- Financing

Analysis

Operating :- Regular business Operations.
Net Answer → cash profit / cash loss
Inflow > Outflow Inflow < Outflow

Interest Income, dividend Income, Extraordinary Inc.

No loans to fintech companies, Airline
Sources of money: Borrowing
Equity
Selling asset

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Agar operating cash nahi ho biz ke paas → to it cannot survive

Cyclical Industry → Real estate
2-3 years cash burn
building ready → high profit

* Financing Activity
→ Inflow / outflow through debt / Equity

* Operating Activity ← Direct Method
← Indirect Method

→ Indirect Method

To Prepare Cash flow Statement (CFS)-
① P&L - 1 year
② B/S - 2 years

Format - (P.T.O)

OPERATING ACTIVITY

Profit / loss Before tax (P&L) ××××××××××

(+) Non cash expenses +

Non cash expenses
- Depreciation
- Bad debts
- Transfer to Reserves

(-) Non cash Income −

(Earned not received) Accrued Income

××××××

+ Non Operating Expense +

- Non Operating Income −

- Interest
- loss on Sale of Assets / Investments
- Extraordinary

Investing Activity
- Interest Income
- dividend Income
- Profit on sale of Assets

Cash & Cash equivalents are not part of Cash flow Statement (CSF)

(-) Inc. In CA
+ Dec. In CA

(+) Inc. In CL
(-) Dec In CL

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Impact of change in working capital

CA & CL

Increase in CA & Decrease in CL → −

Decrease in CA & Increase in CL → +

- Tax paid during the year

CFO

Increase in provision → Means not paid

Ex:- Provision for tax

2025	2026	Tax
~~900~~	200	1000

Means ⇒ 900 will be paid

Provision has ↑ by 100.

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Investment Activity

→ Other than current asset, all assets will come here.
→ Purchase should be done in cash.

Purchase of asset - (outflow) -
Sale of asset - (inflow) +
Interest Income +
Dividend Income +

Working Note
T A/c of asset

Beg. Bal.	Depreci.
Purchase	Sales
- cash	loss on sale
- Non cash	
Profit on sale	Entry Bal.

Beg. bal. + Dep. of current year - Acc. dep of asset sold = End. bal of Acc. dep.

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Financing Activity

Debt / Equity / Loans / Borrowing / Debent.

Taking — Inflow

Repayment — Outflow

Shares

Issue — Inflow

Buyback — Outflow

If we are issuing shares against any asset → cash flow me nahi aayega.

Interest Paid (Finance cost)

Dividend paid

1. Unilever

NPBT: 2480
Dep: 310
Inc. tax paid: 640

Cash flow from Operating Activity	2480
+ Depreciation	310
(-) Tax	(640)
(-) Increase in CA	(130)
+ Trade Receivable	70
- Increase in CL	(15)
+ Inc. in CL	90
+ Inc. in CL	20
	2185

2. Asian Paints

NPAT = 3150

Operating Activity	
Net Profit Before Tax	4210
Depreciation	850
Amortisation	40
Loss on sale of Asset	18
Profit on Investment	(35)
Finance cost	(95)
Interest Income	(120)
Dividend Income	(25)
Inventories	(450)
Trade Receivable	(250)
Trade Payable	220
Other CL	(60)
Short term provi	25
Inc. Tax paid	(1010)
	13508

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3. Dabur India Ltd.

	12400
	(6100)
	(1150)
	(2050)
	(380)
NPBT	2720

Operating Activities

NPBT	2720
+ Depreciation	380
(-) Trade Receivable	(130)
(-) Inc. in Inventory	(90)
(-) Dec. in TP	(80)
(+) Inc. in CL	15
(+) Inc. in CA	12
(-) Tax paid	(35)
	2068

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Diff in Retained earning → PAT & dividends

4. Titan Ltd.

2970
260
140
(85)
(12)
(1400)
(70)
450
2501
2503
690
1813

PPE

18500	230
600	30
	dep 1660
	20900

6200 + 7050 =

6200 + Dep of CA

18500 + Dep of CY - 6200 = 7050

2300 + Dep of CY - 640 = 7050

7050
6200
1320

18500
2300
16200

S-2 & T Ltd.

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P.P.E Mc.

~~Beg. bal.~~	~~18500~~		
Beg. bal.	12300	Depreci:	1490
End of CWIP	600	Sales	230
Purchase	2700	loss on sale	30
		End. bal.	13850

Beg. bal.	6200
ac d-ep.	
+ Dep. on cy	1490
- Acc dep on sales	640
	7050

CWIP

Beg. Dal.	1100	Transf	600
New CapWIP	950	End. bal	1450
	2050		2050

Cashflow from Investing Activity

6. Tata Motors Ltd.

Non-current Investment

Beg. bal	4200	Sale	~~8250~~
Profit on sale	120		
By Purchase	~~1250~~	End bal.	4850
	5550		5550

Current Investment

Opening	1600	Sale.	~~3250~~
profit	~~60~~		
purchase	~~3460~~	End bal.	1250
	5060		5060

~~Interest~~ FD

Beg.	900	Sale	300
		Cls bal.	600

Interest

O/P			
Ant. Inc.	35		
	210		
		Cls	50
	~~210~~		
	10		195
	195		

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Cash from Investing Activity.

Non current Purchase	(1350)
Sales. ~~of~~ Investment	3810
Non Current Sale	820
Purchase Investment	(3400)
FD	300
Int. Received	195
Dividend	90
	~~465~~

7. Infosys ~~Ltd~~.

PPE

~~O/p bal~~	13200	Sale	150
~~loss~~	30	loss	30
Purchase	~~3380~~	dep	2350
		c/s	14050

~~14200~~
13230
0
14050
180
14230
13200
1030

Intangible.

O/p	1050	Amorti.	260
Purchase	490	c/s	1240

1240
1050
190

Investment

O/p	2500		
Purchase	600		
		c/s	3100

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Cash flow from Investing:

Purchase of PPE	(3380)
Sale of PPE	150
Purchase Invest.	(600)
Purchase of ISD	(1500)
Dividend	720
Int.	1140
Purchase	(450)
	(3920)

~~Case-9 Wipro~~

8910 : 1045 / 945

6350 / 850

Case-8 Reliance.

Cash flow from Financing

Purchase

3300
15 75
~~(1500)~~
3400

Case-8 Reliance Industries.

Cash flow from financing

Inflow from ESC	+ 330
Inflow of premium	- 1575
Debenture Repaym.	(1500)
Borrowing	+ 3400
Int. Payment	+ 3000
Dividend payment	-(6093)
	(-288)

Case-9 Wipro Ltd.

Cash flow from financing

~~Inflow from ESC~~	~~945~~
Outflow from Borrowing	(850)
Outflow	(1180)
Dividend Paid	(320)
Out flow Buyback	(12000)
	(17100)

4090
3600
490

1850
18 1180
1030
130

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Operating Activity

PBT	3886
+ Depreciation	520
~~- Profit on sale of Asset~~	~~(6)~~
~~+ Employee benifit expense~~	~~1900~~
-	

Operating Activity

Profit before tax	3886
(+) Depreciation	520
- Profit on sale of Asset	(6)
~~+ Employee benifit expense~~	~~1900~~
- Increase in CA	(130)
- Increase in TR	(30)
+ Increase in CL	180
+ Inc. in CL	15
- Inc. in CA	(15)
+ Inc. in CL	30
(-) Tax paid	(970)
	3480

Investing Activity

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Fundamental Analysis

1. Cash flow → Per / Analysis

2. Vertical, Horizontal, Trend → Common size statement Analysis → Data visualization

3. Ratio Analysis

3 Step Process.

1. → Intra company Analysis (Historical Trends) Pattern

2. → performance against competitors (1-2) Inter Company Analysis

3. → Comparison with Sector (8-10 Co.)

Small vs large cap is also possible (convert numbers into common size & then compare)

CAGR

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Common Size P&L

	Sales	100000	100 %
+	OI	20000	20 %
	Total Income	120,000	
−	COGS	60000	60 %
−	Op Exp	20000	20 %
	EBITDA	40000	40 %
−	Dep	10000	10 %
	EBIT	30000	30 %
−	Int	5000	5 %
	PBT	25000	25 %
−	Tax	5000	5 %
	PAT	20000	

$$CAGR = \left[\left(\frac{\text{Beg. Val}}{\text{End Val}}\right)^{\frac{1}{n}}\right] - 1$$

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B/S Vertical Analysis

Sh. Cap	15000	30%
Reserve	5000	10%
NCL	20000	40%
CL	10000	20%
	50000	
PPE	25000	50%
CWIP	5000	10%
Investm	10000	20%
Receivable	6000	12%
Inventory	4000	8%
	50000	

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Horizontal Analysis

	2025	2026	Absolute	Δ
Sales	100000	120000	20000	20%
+OI	20000	5000	(15000)	(75%)
TI	120000	125000	5000	4%
-COGS	-70000	-80000	10000	14%
-Exp	-20000	-25000	5000	25%
EBITDA	30000	20000	(10000)	(33.33%)
-Dep	-10000	-6000	(4000)	(40%)
EBIT	20000	14000	(6000)	(30%)
-Int	-10000	-2000	(8000)	(80%)
PBT	10000	12000	2000	20%
-Tax	-3000	-3600	600	20%
PAT	7000	8400	1400	20%

Chain Analysis

2022 2023 2024 2025

10000 12000 15000 20000

$\frac{2000}{10000} \times 100$ $\frac{3000}{12000} \times 100$ $\frac{5000}{15000} \times 100$

Fixed Analysis

2022 2023 2024 2025

10000 12000 15000 20000

$\frac{2000}{10000} \times 100$ $\frac{3000}{10000} \times 100$ $\frac{5000}{10000} \times 100$

Horizontal Analysis
Always chain

1 Base year